

graphic transition and to capture their demographic dividend. I think India is one of those countries. Since 1950, India has experienced 70 per cent decline in infant mortality rate and life expectancy has increased at an average of four-and-a-half years per decade. Fertility rates in India have declined from about six children per women in the 1950s to 2.7 today and the decline of birth and death rates shows that India is well along in its demographic transition.

The key point is that the economic benefits India enjoys from favourable demographics can be magnified in several ways—investments in health which have considerable potential to produce higher incomes. It needs to achieve its stated goal of bringing the total fertility rate down and promote infant and child survival which further promotes school attendance and makes the children more productive and, therefore, high-earning adults. I'd like to identify and explore two demographic factors that pose potential threats to India's future prosperity. And these deal with population ageing and economic inequality. India will experience a dramatic rise in its 65-and-over age population from 5 per cent of the total population today to 14 per cent by the year 2050. That translates into 220 million people. There has been a lot of inquiry into this population ageing phenomenon, especially its implications on economic growth. The concern is that many countries, including India, will be flooded with elderly individuals in the coming years who will consume more than they contribute. That shift will dramatically alter asset values and the income trajectories. My own views are much less alarmist, certainly with respect to India's prospects. First, an ageing 65-and-over crowd represents only about a fourth of its number of adolescents and young adults and it is not going to outnumber the young for nearly 40 years. It's also important that we do not lose sight of the fact that the education and training needs of India's adolescents and young adults is truly the 800-pound gorilla in the room.

Now it is true that the adult labour force's participation rates will tend to decrease as populations age but the burden of old-age dependency will be substantially offset by the decline in youth dependency associated with declining



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fertility. In addition, there are a host of behavioural and policy responses to population ageing, including higher labour force participation of women; higher savings from retirement; later age of retirement, and possibly increased migration from labour surplus to lowly deficit countries. All of these responses suggest that population ageing will not necessarily impede economic growth. My worry is that the economic growth rates could vary so much by state as to exaggerate economic inequality in India. I'd like to cap the four key messages I hope you will take away with you. First, demographics matter; they matter to the pace and the process of economic development; second, demographics matter a lot—lots of factors influence economic growth, but there is not much as important and reliable than demography; third, India's changing demographics is creating a potentially strong impulse to economic growth and, therefore, also to reduction of poverty. Finally, I will borrow from Nandan Nilekani, whose book *Imagining India* sets forth quite a brilliant vision for the country that is entered by the intelligent management of its demographic asset, and as put by Nandan, "The demographic dividend could well become a demographic disaster if we do not make the right investments; we have this beautiful opportunity, let us not mess it up."

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DISCUSSION

Q. It seems to me that perhaps we need to address the macro level and the interchange of religions within the countries because of culture.

A. I'll give you an example. In Ireland, fertility was quite high because contraception was illegal. In 1979, contraception was legalised. As the fertility rate dropped by a third, the Irish economy grew at about 3 per cent per year per capita income to double that. It's quite ironic that the legalisation of

contraception gave birth to the Celtic tiger.

Q. Could you talk about the phenomenon of jobless growth and its context in the pattern of innovation?

A. It is true that in many aspects the East Asian miracle happened because East Asia invested very heavily in labour-intensive manufacturing of goods and they took advantage of world markets to export them. I think what you are worried about is that it's not the

kind of innovation that goes forward. I'm not so worried about that because I think ultimately innovation is going to be shaken by relative prices and as long as there is a huge labour supply in many countries, innovation would be in favour of labour-intensive items. The economic forces will tend to take that direction.

Q. Thirty years ago, India's population was considered its biggest liability. Today it has become its biggest asset. Are

we heading for a disaster and will it be a liability again after 30-40 years?

A. Natural experiments like the one in Ireland help to demonstrate how the population can be controlled. But while doing something like this, one must not only look at the overall economic growth, but also the components of people. They (Ireland) have looked at labour first and then seen how the productivity can be increased.